MANORAMA INDUSTRIES LTD

NSE: MANORAMA · BSE: 541974 · Exotic seed fats & butters, cocoa butter equivalents (CBE) · Mahasamund, Chhattisgarh

Initiation of coverage · 19 October 2026 · prices as of 19-Oct-26 (3:07 PM)

RATING	CMP (19-Oct-26)	12M TARGET (50:50 DCF / P/E)	PRICE / TOTAL RETURN TO TARGET
SELL model-based · low-to-medium conviction	**₹1,790.40**	**₹1,205**	**-32.7% / -32.7%**

Key data

Market cap	**₹11,301 cr**
Shares (post-QIP)	**6.31 cr (FV ₹2)**
52-wk low / high	**₹1,060.6 / ₹2,149.5**
Price / book (Mar-26)	**15.7x (BV ₹114.2)**
P/E: FY26 / trailing	**47.5x / 41.7x**
ROE / ROCE FY26	**40.3% / 33.6%**
Dividend FY26 (₹/sh)	**₹0.80 (0.04% yield)**
Promoters (31-Mar-26)	**54.32% (pre-QIP)**
Net debt Mar-26 / QIP	**₹214 cr / +₹500 cr**
CARE bank rating	**A+ (upgraded from A)**
EV / FY28E EBITDA	**21.7x**

Business

Manorama makes cocoa butter equivalents (CBE) and other specialty fats and butters from tree-borne seeds (sal, mango, kokum and mowrah collected in India; shea from Africa) at one integrated plant at Birkoni, Mahasamund. It sold ₹1,357.7 cr of product in FY26 (standalone, +76.1%), 57% to customers outside India, with an EBITDA margin of 27.1% and PAT of ₹233.2 cr. Named customers include Ferrero, Mondelez, Mars, Hershey and Nestlé; two customers were 21.05% and 19.49% of FY26 revenue (audited). Fractionation capacity is 47,500 tpa, heading to about 52,000 tpa; a ₹460 cr expansion (new fractionation, refinery, cocoa-butter alternative, Burkina Faso processing) targets FY28.

Investment view

- **Customer concentration.** Two customers are 40.5% of revenue (audited note).
- **Business quality is high.** Revenue ×3.9 and PAT ×7.8 in three years (FY23–FY26); margins stepped from 16% to 27%; FY26 cash from operations ₹259 cr after two negative years; auditor's opinion unmodified.
- **The price pays for more than we can underwrite.** 34x our FY28E EPS of ₹53.4. Our DCF (WACC 12.4%, cost of equity 12.5% at beta 1.0) gives ₹813 today / ₹914 in 12M; 28x FY28E EPS gives ₹1,495; blend ₹1,205, target ₹1,205.
- **The rating is beta-sensitive.** Beta evidence is mixed: 0.26 (Simply Wall St) vs 0.53 / 1.31 / 1.18 (Trendlyne, 3M / 1Y / 3Y). At 0.26 our model gives a Buy (target ₹2,250); the rating is Sell at any beta above about 0.5. The market-implied cost of equity is about 8.5%.
- **Governance to watch.** Related parties supplied 39% of FY26 purchases (₹192 cr from a director-influenced entity, ₹153 cr from a subsidiary); ₹7.0 cr performance bonus to the chairman; overseas subsidiaries still being funded (consolidated PAT is ₹8.3 cr below standalone).
- **Street view differs.** Trendlyne: 3 analysts, Strong Buy, target ₹2,111 (about 38x their FY28E EPS of ₹55.5). Their FY27E/FY28E EPS (₹48.0 / ₹55.5) are close to ours (₹48.3 / ₹53.4): the gap is the multiple, whose basis is not in our sources.

Catalysts

- Q2 FY27 results: utilisation, margin hold at 25–27%, subsidiary losses (Q1: about ₹3 cr).
- Debottlenecking to ~52,000 tpa (Q3 FY27); ₹460 cr expansion commissioning from Q3 FY28; Brazil (Dekel) ramp.

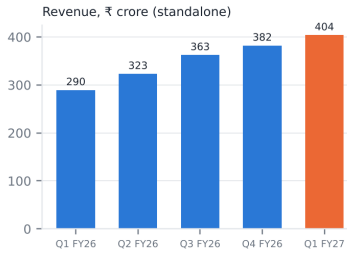
Key risks

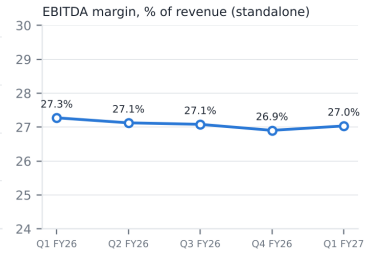
- Single-segment, single-plant concentration; seed supply (forest collection, weather, export rules, e.g. Nigeria shea export ban).
- Related-party sourcing; forex (50–60% hedged); regulation of CBE use in chocolate; EU/India allow up to 5%.

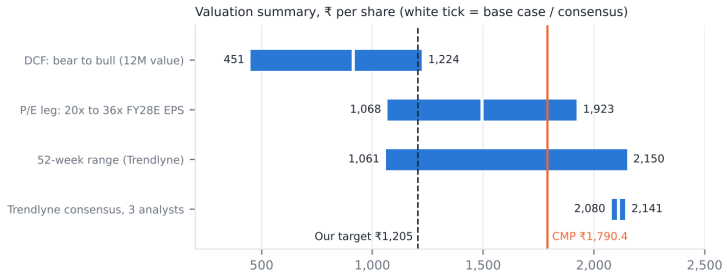
Financial summary (FY24–FY26 reported, FY27E–29E our estimates)

₹ crore	FY24	FY25	FY26	FY27E	FY28E	FY29E
Revenue	457	771	1,358	1,711	1,950	2,340
EBITDA	74	191	368	453	507	608
EBITDA margin	16.1%	24.8%	27.1%	26.5%	26.0%	26.0%
PAT	40.1	112.1	233.2	312.5	347.1	404.4
EPS (₹)	6.73	18.42	37.67	48.3	53.4	63.1
P/E at CMP (x)	266	97	47.5	37.1	33.5	28.4
DPS (₹)	0.40	0.60	0.80	0.80	1.00	1.20

Standalone revenue/EBITDA/PAT; EPS: FY24 standalone, FY25+ consolidated basic (estimates consolidated).







Scenarios (our DCF)

Scenario (our DCF)	Bear	Base	Bull
Steady-state EBITDA margin	17%	24%	26%
FY29E revenue (₹ cr)	1,903	2,340	2,669
DCF value today (₹)	401	813	1088
DCF 12M value (₹)	451	914	1224

Beta sensitivity (our model, P/E leg unchanged)

Beta → cost of equity	12M DCF (₹)	Target (₹)	Rating
0.26 → 7.3%	3,003	2,250	Buy (+26%)
0.60 → 9.7%	1,468	1,480	Sell (-17%)
1.00 → 12.5%	914	1,205	Sell (-33%)
1.31 → 14.7%	708	1,100	Sell (-39%)

Latest results

Q1 FY27 (Jun-26, standalone)	Figure
Revenue	₹404.0 cr (+39.5%)
EBITDA / margin (derived)	₹109.2 cr / 27.0%
PAT	₹81.6 cr (+61.3%)
Consolidated PAT / EPS	₹78.7 cr (+67.6%) / ₹13.17
Other income incl. forex	₹16.0 cr (₹13 cr forex gain)

Sources: Manorama annual reports FY24–26, Q1 FY27 results (13-Aug-26), investor presentations Q4 FY26 and Q1 FY27, call transcripts Q2 FY26–Q1 FY27, Trendlyne report (19-Oct-26), Simply Wall St and Sharpely (beta). Market cap = price × 6.31 cr shares (post-QIP). P/E, P/B, EV and net debt are our derivations from these. Estimates, beta (1.0), target multiple (28x) and DCF inputs are our assumptions. Virtual-portfolio study; not investment advice.